

Subject Code	AF5102
Subject Title	Accounting Theory
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	The purpose of this subject is to give students an understanding of the current financial reporting environment, taking into account the diverse interests of external users and management. It contributes to the achievement of the MPA Programme Outcomes by enabling students to <u>develop an understanding of the scope, functions, and limitations of the conventional accounting model</u>, and to <u>explore various accounting theories that may explain why accountants do things the way they do</u> (Programme Outcome 4).
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - develop and demonstrate an understanding of the concepts, principles, and practices of financial accounting; - develop an understanding of the scope, functions, and limitations of financial accounting; and - understand why these principles and practices are adopted and how they are influenced by underlying theoretical concepts, ethics, and institutional settings and environment. - understand the role of data science and data technology in economic analyses.
Subject Synopsis/ Indicative Syllabus	Some Basic Economic Concepts Basics of statistics, probability, data science, and their role in economic analyses. Types of information asymmetry and their implications to financial reporting. Adverse selection and moral hazard problems. Concept of signalling and its implications. The Present Value model of Accounting Conditions under which financial statements will be “relevant” and “reliable”. Asset valuation and income measurement under ideal conditions. Implementation of the present value model. Potentials of the present value model.

Information Perspective of Accounting

Decision theories and capital market theories and their relevance to accounting. Development of the conceptual framework of accounting in various countries. Use of information by market participants. Concepts of information-based herding and cascades.

Efficient Securities Market

Implications of securities market efficiency to accounting. Models of securities prices. Nature of information asymmetry in financial reporting and the resulting problems of moral hazard and adverse selection. Usefulness and information content of financial statements and accounting information. Empirical research in accounting. Measures of unexpected accounting earnings and security price response.

Economic Consequences

Management's interests in financial reporting. Economic consequences of accounting policy choice. Relationship between theories of market efficiency and economic consequences. Positive Accounting Theory.

Conflict between Contracting Parties

Game theory and agency theory, and their relevance to the study of accounting. Use of accounting information for contracting purposes, as in employment contracts and lending contracts.

Executive Compensation and Earnings Management

Management compensation and incentive plans. Earnings management. Implications of financial statements and generally accepted accounting principles (GAAP). Use of accounting information for contracting purposes, as in employment contracts and lending agreements. Issues of earnings management and their implications to financial reporting.

Setting of Accounting Standards

Theoretical and practical issues in accounting standard setting. Information as a complex commodity and the economic theories of regulation. Setting and harmonisation of international accounting standards.

Student Study Effort Expected	Class contact:	
	▪ 3 contact hours of seminar per week for 13 weeks	39 Hrs.
	Other student study effort:	
	▪ On average students are expected to spend around 2 additional hours for each contact hour for reading subject materials/textbook, doing discussion questions and individual and group assignments.	78 Hrs.
	Total student study effort	117 Hrs.
Reading List and References	Scott, William R., <i>Financial Accounting Theory</i> , latest edition, Toronto: Prentice Hall Canada, Inc.	